Q1 Tech Performance Review

April 1, 2026

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Deutsche Bank Research Institute

IMPORTANT RESEARCH DISCLOSURES LOCATED IN APPENDIX 1.

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Oracle Plans Thousands of Job Cuts in Face of AI Cash Crunch

Nvidia's Jensen Huang predicts $1tn in AI chip revenue over 2 years

The $1.6 Trillion Meltdown That Swept Through Software Stocks

China Is Embracing OpenClaw, a New A.I. Agent, and the Government Is Wary

Source: Deutsche Bank Research, Bloomberg Finance LP, Reuters, Yahoo Finance, White House.

SUMMARY: Will the AI disruption narrative resume in Q2?

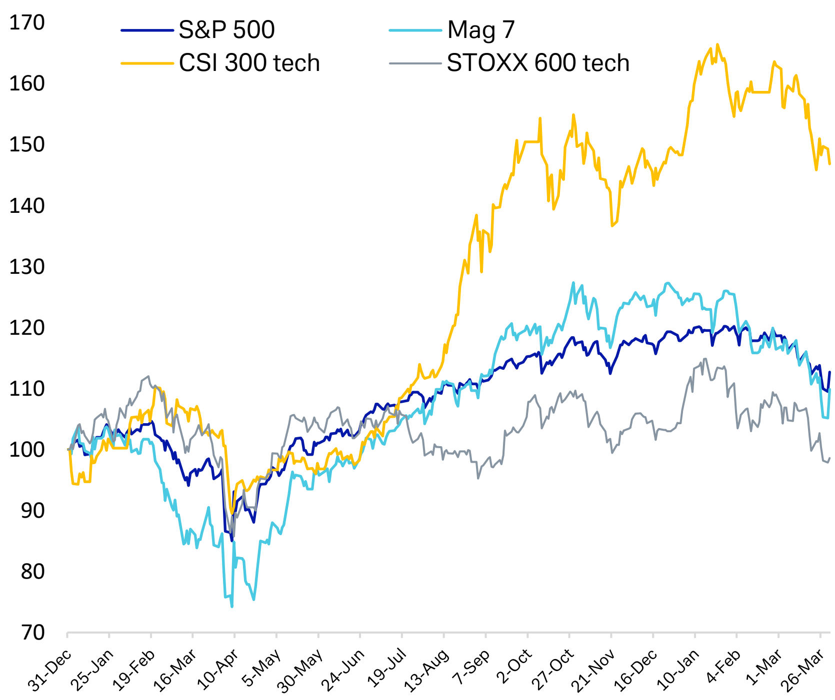
Tech equities declined in Q1, initially driven by concerns around AI disruption, before a broader macro sell-off—triggered by escalating tensions in the Middle East—accelerated the downturn. The bulk of the decline occurred in Feb, when new AI tool releases and a widely circulated research note on potential US employment risks intensified fears and prompted a rotation away from tech. As a result, the Mag 7 (-12%) and the tech-heavy Nasdaq Composite (-7%) both ended the quarter lower.

The sector faced two key challenges: first, rising doubts about the sustainability of AI-driven demand; and second, concerns that AI disruption could weigh on software revenues and the US labour market. Software stocks were particularly affected, with the S&P 500 software segment declining -24%—its worst performance since the peak of the global financial crisis. More broadly, several of the Magnificent 7 companies ended the quarter in bear market territory relative to their October 2025 peaks.

The sell-off was also global. The STOXX 600 Technology index fell -5.5%, while the Hang Seng Tech (-16%) and CSI 300 Technology (-9%) saw sharper declines. Our European analysts believe peak AI disruption concerns may be behind us, whereas their US colleagues' analysis of positioning in the sector indicates it is still short.

Looking ahead to Q2, much will depend on developments in the Middle East. If tensions ease, the key question is whether the AI disruption narrative re-emerges after its February peak—and whether it continues to weigh not only on likely losers, such as software and IT services, but also on beneficiaries of AI spending, including chipmakers and hyperscalers.

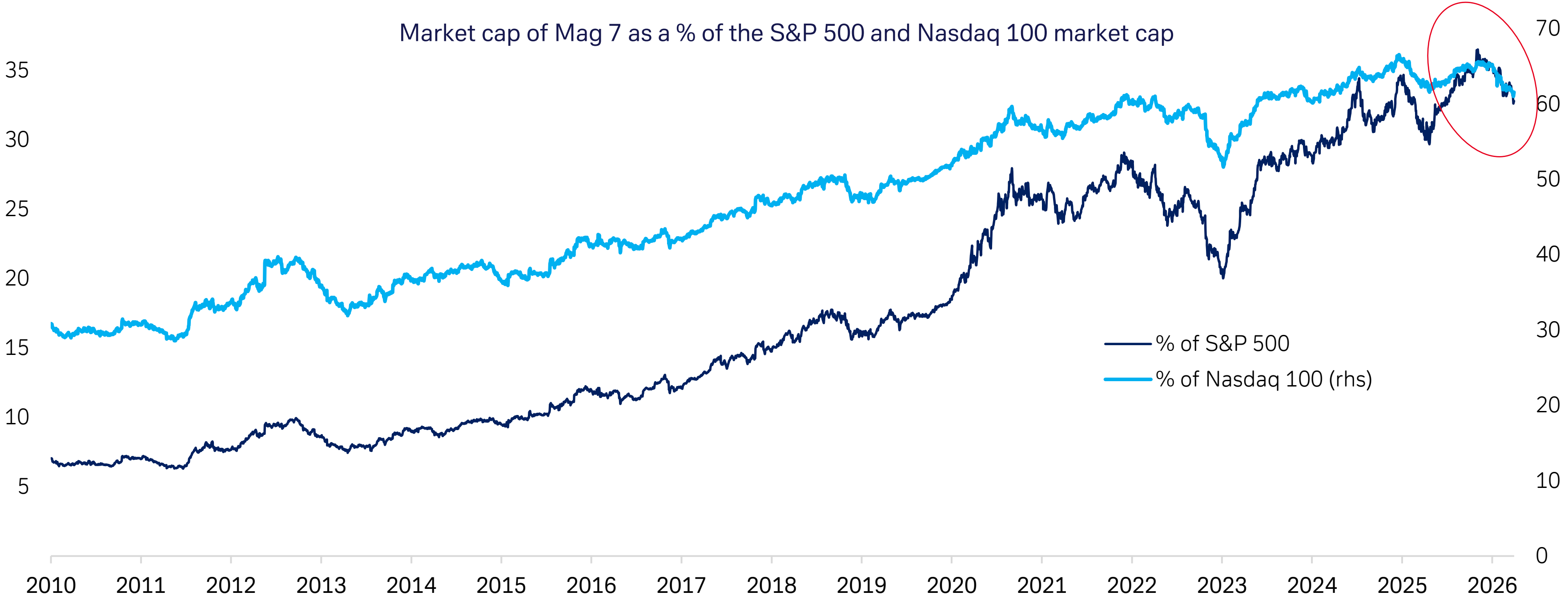
Global tech equities have sold off along with broader macro



Sources: Deutsche Bank Research, Bloomberg Finance LP. Updated April 1 2026.

1. MAGNIFICENT 7

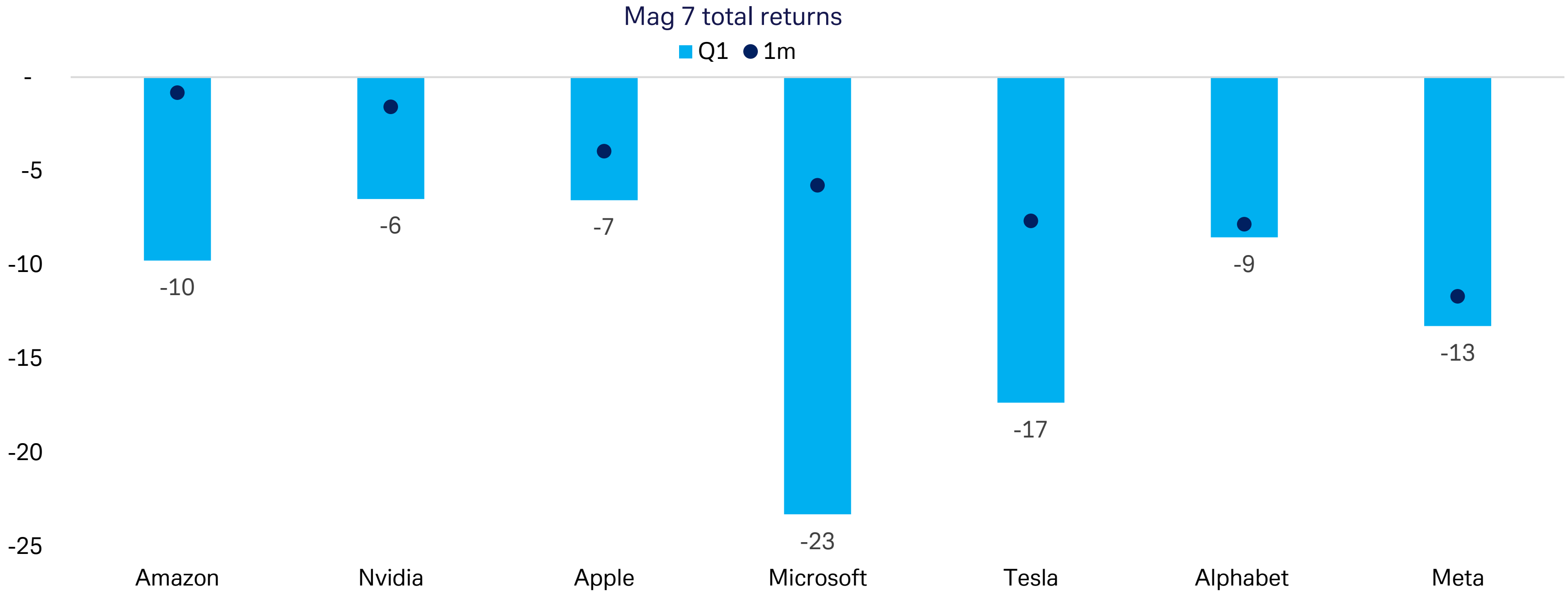
Even before the escalation in the Middle East, a rotation away from tech and large caps was underway, as doubts over earnings sustainability began to build. This shift accelerated in February, when fears that AI could drive higher US unemployment—alongside the release of new AI tools—intensified the sell-off.



Source: Deutsche Bank Research, Bloomberg Finance LP. Updated March 31 2026.

1. MAGNIFICENT 7

All Magnificent 7 companies underperformed the S&P 500 (-4.35%) this quarter. Among the laggards, Nvidia (-6.5% in Q1) recorded its worst quarterly performance since January 2025—when DeepSeek launched—as underwhelming earnings reinforced growing scepticism around the AI trade. Microsoft (-23%) also posted its worst quarterly performance since 2008.

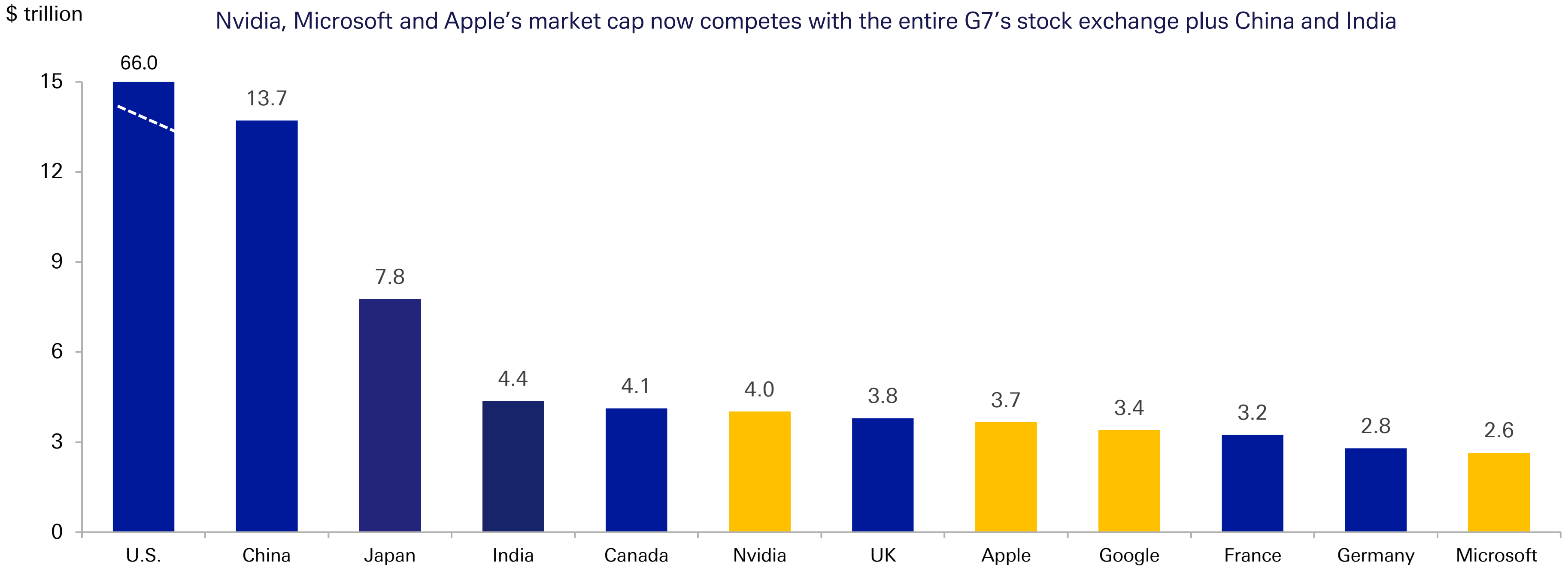


Source: Deutsche Bank Research, Bloomberg Finance LP. Updated April 1 2026.

1.1 MAGNIFICENT 7

Despite the ongoing sell-off, Big Tech continues to compete with economies for influence. Nvidia continues to maintain a market cap of over $4trn, while in January, Google also crossed the $4trn threshold for a few days after it announced a multi-year deal to power the AI technology for Apple's iPhones.

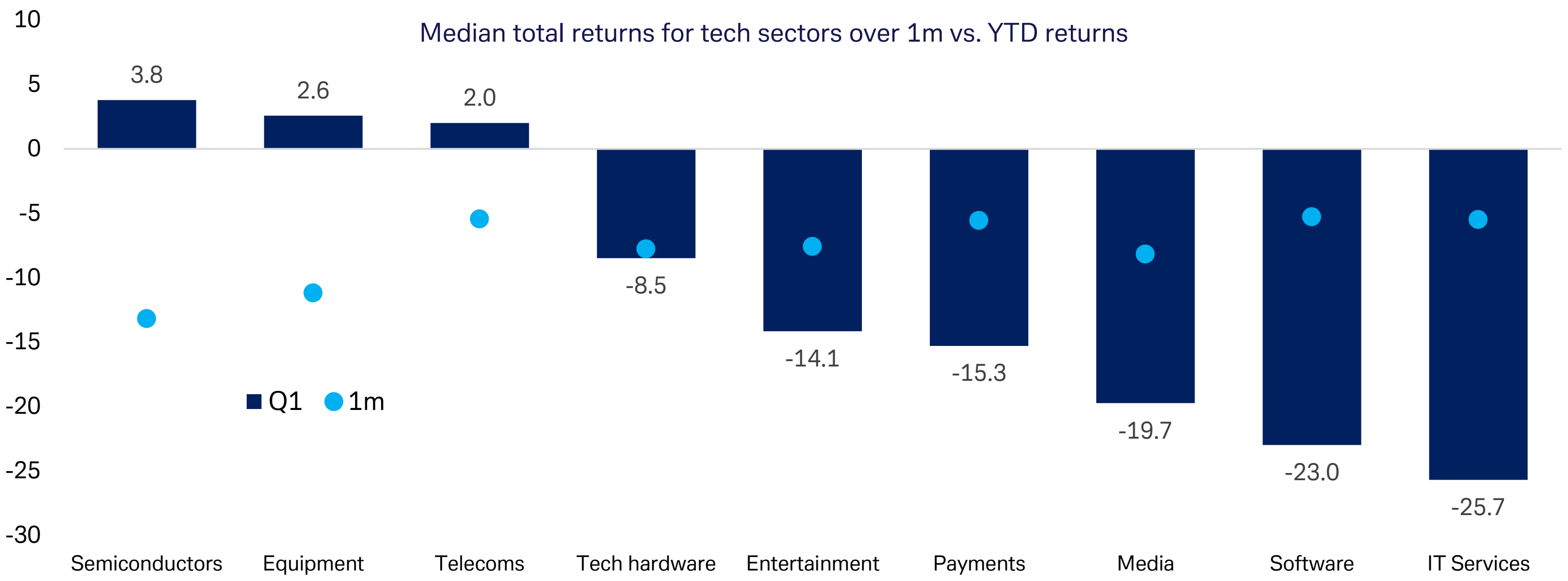
Nvidia, Microsoft and Apple's market cap now competes with the entire G7's stock exchange plus China and India



Source: Deutsche Bank Research, Bloomberg Finance LP. Market cap in US$ of G7 plus China and India's entire listed equity market on Bloomberg. Updated March 31 2026

2. GLOBAL INDUSTRY BREAKDOWN

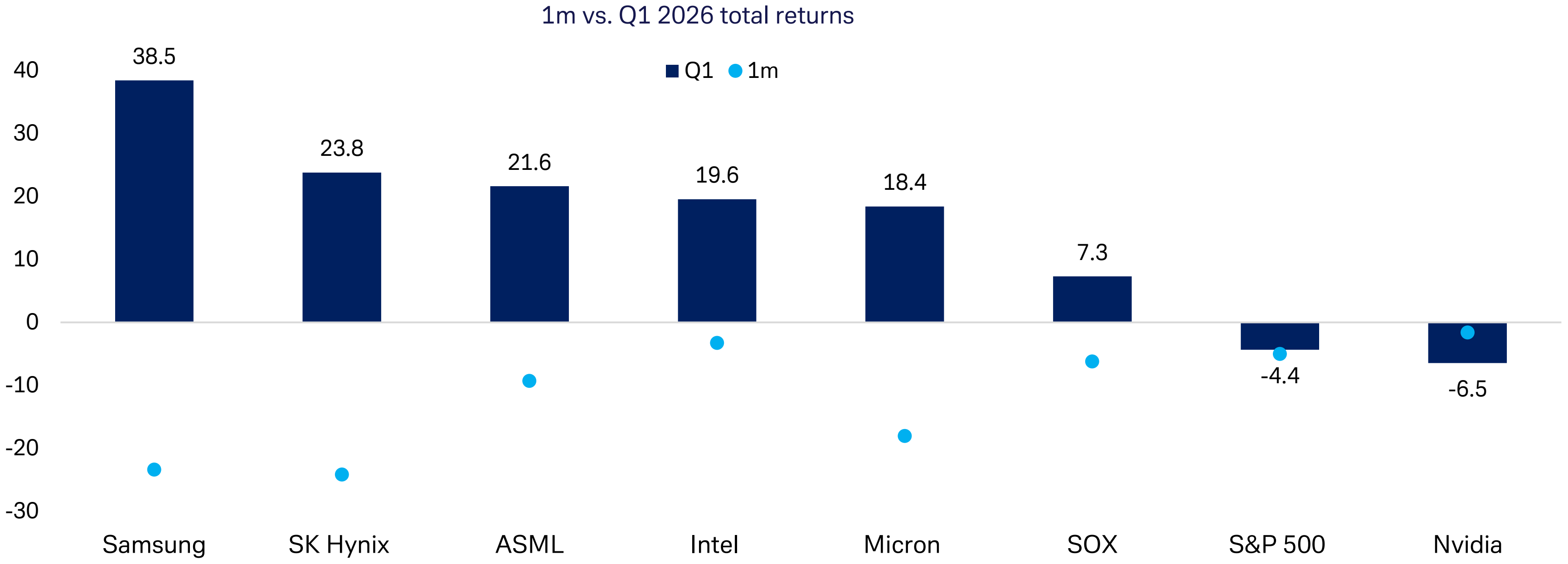
Software and IT services categories suffered the largest losses in Q1, although they recovered slightly in March. Out of those companies in Q1, Oracle US (-24%) and Oracle Japan (-36%), EPAM Systems Inc (-34%) and Tata Consultancy (-29%) were among the worst performing, as fears around AI disruption to the global software business model dominated the narrative. Until March, global semiconductor companies fared relatively well with Asian companies like Hanmi Semiconductor (+88%) and eMemory Technology Inc (+49%) leading.



Source: Deutsche Bank Research, Bloomberg Finance LP. Updated March 2026.

2.2 SEMICONDUCTORS

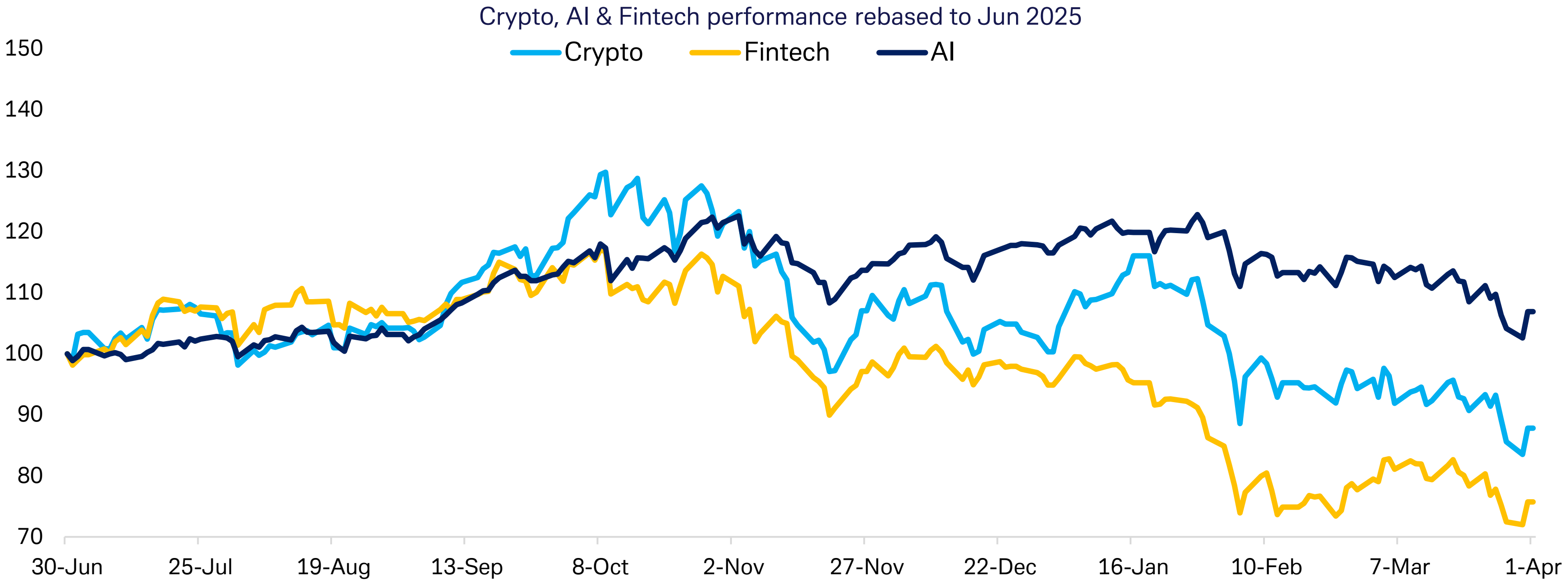
In March, chipmakers performances were hit by Google's TurboQuant launch—an algorithm suggesting AI data centres may require less memory for compute. This triggered a sharp sell-off in memory manufacturers such as Micron (-18% in March) and Samsung (-23% in March), although both remain up year-to-date, supported by the global memory chip shortage. More broadly, uncertainty around US export controls, growing scepticism toward the AI trade, and geopolitical risks also weighed on the sector.



Source: Deutsche Bank Research, Bloomberg Finance LP. Updated March 2026.

2.3 CRYPTO, AI & FINTECH

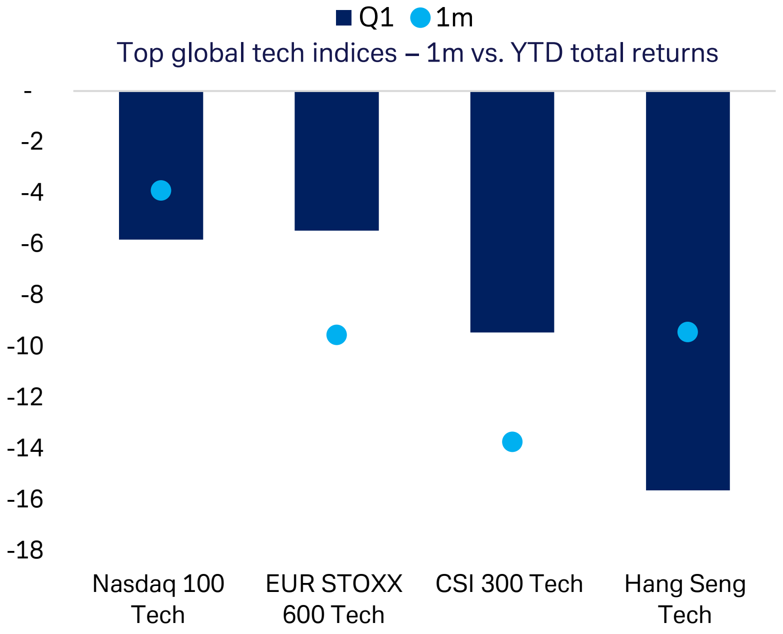
Bitcoin has fallen for five consecutive months until March, making it one of the clearest laggards of early 2026 and weighing on crypto-ETFs. The crypto fell -22% to $68,194 in Q1. However, as headlines have shifted towards the Middle East conflict, crypto, fintech and AI ETFs have managed to recover some of their declines.



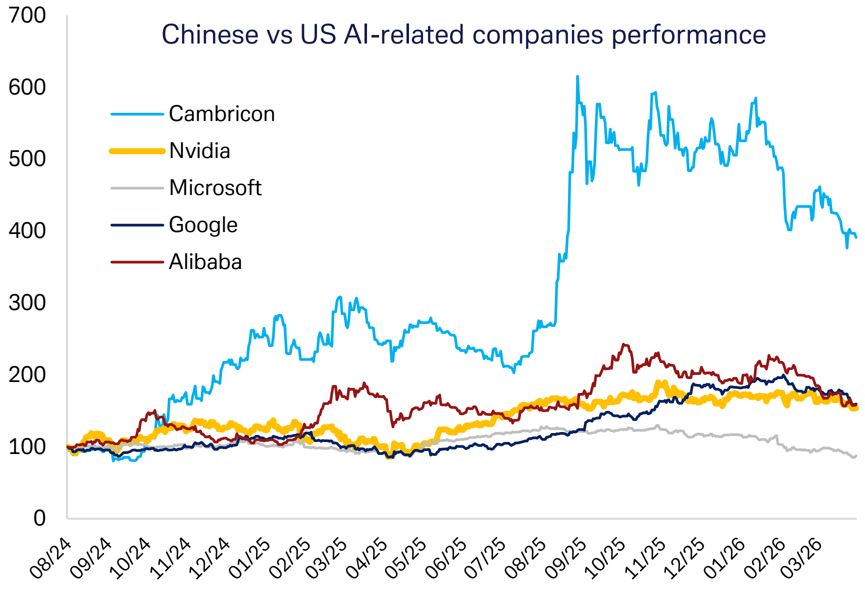
Source: Deutsche Bank Research, Bloomberg Finance LP. Data updated March. The following are based on AIQ ETF, BLOK US Equity ETF, and ARKF US Equity ETF.

3. REGIONAL BREAKDOWN

Globally, tech equities have suffered under the broader macro dip. Notably, our European equity analysts have upgraded tech from underweight to neutral and turned overweight software within tech, believing that the AI disruption worries have peaked (see here). In the US, investor positioning towards tech is still short.



Source: Deutsche Bank Research, Bloomberg Finance LP. Updated March 31 2026.



Source: Deutsche Bank Research, Bloomberg Finance LP. Indexed to 100. Updated March 31 2026.

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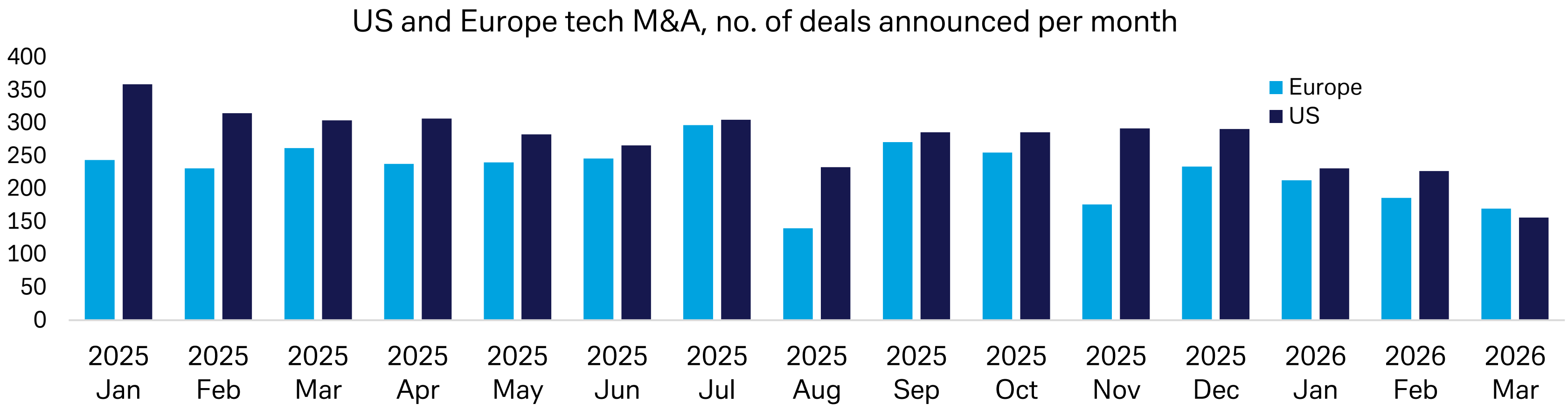
4. M&A



Source: Deutsche Bank Research, SDC data up to March 31. Values include Completed, Ontended, Pending Regulatory, Partially Completed, Pending, Unconditional

AUTHORS

Marion Laboure is a Senior Economist at Deutsche Bank in London and a Lecturer at Harvard University.

She brings extensive experience across the private sector, public policy, and monetary policy, having worked at the European Commission, the IMF, the Luxembourg Central Bank, and Barclays.

She has received multiple distinction, including first prize from the American Society of Actuaries, Revue Banque as a rising star in finance, selection as one of the 45 standout women in fintech, and being named as a “cryptocurrency mastermind” by Business Insider.

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Appendix 1

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